

HUBS pitch deck

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PITCH — HUBS — VERDICT

ADJUDICATED 2026-08-11 — TRIM HALF THE POSITION, HOLD THE REST, ADD NOTHING; conviction 6/10, position cap cut from 1.2% to 0.5% of the book, and the remaining half is on a documented kill trigger at the Q3 report.

What we believe

HubSpot is a genuinely good business that we own at a price that requires it to re-accelerate, and on August 5, 2026 the company itself told us it will not re-accelerate soon.

The specifics:

- Management guided to **5,000–6,000 net new customers per quarter “for Q3 and beyond,”** down from the 7,000 it just delivered and well below the 9,000–10,000 the market had been carrying.
- It guided **net revenue retention flat at 102%** — meaning the average existing customer spends only 2% more next year, before churn is netted out. There is no expansion engine visible to offset slower new-customer growth.
- Reported revenue growth still looks respectable (Q3 guide of **\$924–925M, roughly +14%**), but roughly **3 percentage points of that is a weak-dollar tailwind**, not business. Strip currency out and the exit rate is about **11% growth in constant currency**.
- Against that, the stock is priced on accounting profit at roughly **55x operating income** (about \$43.3M of GAAP operating profit in Q2, annualized to ~\$173M, against an enterprise value near \$9.6B). The widely-quoted “12.6x” multiple uses the company's own adjusted numbers, which exclude very large stock compensation. Owner-level economics are close to break-even once you charge that cost.
- The buyback is drawing down the balance sheet rather than being funded from operations: **\$536.4M of repurchases in Q2 against \$167.9M of free cash flow**, \$742.9M in the first half, against \$1,383.2M of cash and investments. That is roughly 2.6 more quarters at this pace. It is a real bid, but it is finite and it is not free.
- The margin pressure is self-inflicted and deliberate: in April the company cut prices on its agent products and added cheaper entry tiers. That is a strategy, possibly a good one, but the payback is unproven and the market has now re-rated the stock twice on it (down ~11.9% on May 7, down ~21% after hours on August 5).

Conclusion: this is a **business risk, not a solvency or fraud risk**. The company is profitable, carries no debt, and its convertible notes matured and are gone. So the correct response is to make the position smaller, not to leave. We cut half.

What the market believes

The market believes roughly what we do, and has already acted on it. The stock is **59% below its 52-week high of \$525.51**, at **\$215.17**, and only 27% above its 52-week low of \$169.63. Two separate post-earnings de-ratings this year have taken the multiple down hard. Around 40 analysts cover the name, so nothing here is undiscovered.

Where the market may still be too generous: it is largely quoting the adjusted profit figure, which makes the stock look like it trades at a mid-teens multiple. On reported accounting profit it does not.

Where the market may be too harsh: it has priced a growth deceleration while the company's committed future contract value — signed business not yet recognized as revenue — is growing about **twice as fast as revenue** (see below). If that backlog is real and not a one-time artifact, today's price is too low.

Why we might have edge

1. **We separated currency from business.** The company's guide looks like 14% growth; underlying growth is about 11%. Most commentary quotes the headline. Our whole case for cutting rests on the currency-adjusted number, and it is derived from figures both sides verified.
2. **We charged the real cost of stock compensation.** Using the company's own audited operating profit instead of its adjusted profit changes the valuation from "reasonable" to "demanding." Consensus commentary mostly does not do this.
3. **We looked at the backlog, and it argues against our own conclusion.** Our second bench pulled the quarterly filing and found that contracted revenue with more than a year of original duration went from **about \$1.3B to about \$1.7B year over year — roughly +31%** — against 15% constant-currency revenue growth. That is the one forward-looking indicator available, and it points up. It is the single strongest reason we kept half rather than selling everything.
4. **We treated the buyback as an actor, not a floor.** The authorization is about \$42M per month. That is under one day's trading volume. Anyone modeling the buyback as price support is overestimating it, and we can see the drawdown in the filing.

Why it might be priced in

Honestly: much of it probably is. This is the weakest part of the case, and we should say so.

- The stock fell ~21% on the news we are reasoning from. We are not early to it.
- With ~40 analysts and a 59% drawdown, there is no neglected-security story here. We could not run our crowding check this session (the tool was unavailable), so "the market hasn't noticed" is an assertion we did not test.

- The backlog growth above is a real argument that the selling overshot.
- The price cuts could be exactly right — buying volume with price is a standard and often correct software playbook. We do not have cohort data either way.

The honest framing is not “we know something.” It is: **at ~55x accounting profit with the company guiding down, the payoff is not worth full size, and we can wait one quarter for evidence that costs us nothing.**

What we checked ourselves

Claim	How checked	Found	Confirmed?
Q3 revenue guide \$924–925M; FY \$3.678–3.686B	Company release plus multiple independent outlets	Confirmed as stated	✅ Yes
Net adds guided 5,000–6,000 “Q3 and beyond”; retention flat at 102%	Earnings call coverage, several outlets	Confirmed	✅ Yes
GAAP operating income \$43.3M in Q2	Company Q2 release, then the quarterly filing	Confirmed	✅ Yes
Buyback size	Red bench said \$531.9M ; blue bench pulled the filing and got \$536.4M	Red bench was wrong. Filing figure \$536.4M, first-half \$742.9M	✅ Corrected
Backlog trend (“does signed business lead revenue down?”)	Red bench declared this uncheckable and the planner had ruled it uncheckable too. Blue bench found the filing through a mirror and ran it	Both were wrong — it was checkable, and it runs the opposite way to our thesis: +31% vs +15%	✅ Ran, inverse result
“The company’s guide already contains the bear case”	Red bench multiplied 5,500 adds × 4 quarters against the customer base	Red bench’s arithmetic was a 2027 extrapolation, not the guide. The guide in hand is +14–16% reported. The conclusion survives via a different route: strip ~3pp of currency and the guide is ~11% constant currency	⚠️ Conclusion holds, method corrected
Our own original thesis: “implied Q4 growth +15.8%, no melt”	Blue bench re-derived it	Our own error. That number was reported-basis — it used the exact currency flattery our thesis was prosecuting	❌ Thesis error
Balance sheet: cash, converts, deferred revenue	Quarterly filing via mirror	Cash and investments \$1,383.2M ; zero convertible notes (matured June 2025); deferred revenue \$1,062.7M vs \$1,013.4M in December	✅ Yes
Annualizing one quarter’s operating profit	Blue bench challenge	Judged neutral to generous — the quarter inflected from –\$24.6M a year ago to +\$43.3M, so annualizing it flatters us, not the bear case	✅ Fair

Claim	How checked	Found	Confirmed?
The -11.9% (May 7) and -21% (Aug 5) price moves	Attempted broker price history — permission denied ; corroborated by 3+ news outlets instead	Corroborated but never verified against actual price bars	⚠️ Gap
Seasonality check on the deceleration claim	Tool unavailable — did not run	Nothing. This is mandatory on any deceleration claim and we skipped it	❌ Not run
Crowding / how-discovered check	Tool unavailable	Not run; the “no protection from consensus” finding is reasoning, not evidence	❌ Not run
Our own evidence pack’s financial history block	Both benches inspected it	Our tooling is broken: the revenue series ends in 2018 . A frame-selection defect. Both benches correctly threw it out; no one should use that block until fixed	❌ Tooling error
Direct filing access from the regulator’s site	Attempted by both benches	Blocked (403) both times. Blue bench got the content from a third-party mirror. The numbers we quote as “filing-verified” are mirror-verified	⚠️ Partial
Detector coverage	Full sweep both benches	Nothing fired. Also: our dispatcher sent building-permit detectors for Albuquerque, Austin and Bozeman to a Cambridge, Massachusetts software company — a routing artifact worth fixing	⚠️ Artifact
Which price we reasoned from	Cross-check	Red bench used \$220.31 ; the evidence pack says \$215.17 . Small, but the two benches were not on the same tape	⚠️ Minor

PROPOSED ENTRY BANDS

There is no new entry. The court says trim, not buy. These are the reopen conditions, taken verbatim from the adjudication:

- **RE-ADD trigger (documented):** Q3 10-Q RPO growth >20% AND net adds >=6,000, or NRR >=103%
- **Kill remaining half:** Q3 adds <5,000 or NRR <102 (guide was the ceiling not the floor)
- **rpo_drift detector must run at Q3** (blue ran it via mirror; planner had ruled it uncheckable — contested and won)

In plain terms: to buy back the half we sold, the next quarterly report must show contracted backlog still growing faster than 20% **and** at least 6,000 new customers — or, alternatively, retention improving to 103% or better. To sell the rest, the company only has to miss its own guidance floor: fewer than 5,000 new customers, or retention slipping below 102%. That asymmetry is deliberate — management’s guide is the ceiling of our expectation, not the floor.

Sizing: position cap re-derived from **1.2% down to 0.5% of the book**. The trim already armed is the sell instruction dated 2026-08-12. Note a discrepancy we have not resolved: the armed trim reads “SELL 51” shares while the position record shows **42 shares held at an average cost of \$186.7875**. That must be reconciled before the order transmits — see unverified items below.

Price conditions: - Existing alert fires **below \$190**. That is the trim-into-strength flag: below \$190 the “sell into a strong tape” premise has failed and the trim becomes a plain reduction. - **\$169.63** is the 52-week low. A break of it before the Q3 report means the market resolved the question before we did. - No price level triggers a re-add. The re-add is evidence-gated, not price-gated, and buying it back purely because it got cheaper would be the mistake this whole court was convened to prevent.

Catalyst dates: - **2026-08-12** — trim execution (armed). - **2026-11-04** — Q3 report. **This date is vendor-derived and UNCONFIRMED**; no company announcement names it. Everything above resolves here. - **2026-11-05** — re-court and grading of the frozen 0.45 call.

Before the trim transmits: check the tax lots. Average cost of \$186.79 looks recently established, so this may be a short-term gain, which sits badly against the household’s tax-loss-harvesting posture. Verify the holding period first.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 169.63 (deck-provisional: 52-week low breaks before the Q3 print — market resolved the growth question ahead of us; re-court imm)
- filing watch: 10-Q until 2027-02-13 (deck-provisional: Q3 filing is the whole case: RPO growth >20% and net adds >=6,000 (or NRR >=103%) re-adds the half; ad)
- dated pack HUBS|2026-08-05: HubSpot Q2: revenue > \$898M guide + raise; billings/cRPO health.
- dated pack HUBS-STK|2026-08-05: HUBS stock-reaction call: compare the close 5 TRADING DAYS after the print to the pre-print close. HIT = higher, MISS = flat/lower. Mechanic
- dated pack HUBS-TRIM|2026-08-12: TRIM-INTO-STRENGTH (re-court 5/10 HOLD-REDUCED, business_risk+data_integrity -> size cut, cap re-derived 1.2%->0.5%): instr 149 = SELL 51 @
- dated pack HUBS|2026-11-05: Re-court frozen call (0.45, frozen 2026-08-05 POST-transcript-check pending - freeze confirmed only after the transcript recheck): at Q3 pri
- dated pack HUBS|2026-11-04: HUBS Q3 print (date UNCONFIRMED, vendor): grades the trim-50. RE-ADD half: 10-Q RPO growth >20% AND adds >=6,000, or NRR >=103%. KILL remain
- dated pack HUBS|2026-08-12: HUBS: Armed trim-50 executes (instr 149) — reconcile 51-share instruction vs 42 shares held, and check tax lots first (date confirmed=True)

What remains unverified

- **The Q3 report date (2026-11-04).** Vendor-derived. Not confirmed by the company.
- **The actual price bars** for the May 7 and August 5 declines. Corroborated by news coverage only; broker price history was permission-denied.
- **Everything sourced from the quarterly filing** is verified against a mirror, not the regulator's own copy, because both benches were blocked.
- **Whether the +31% backlog growth is real demand or contract-structure mix** from the April multi-year push. This is the single most important open question, and it cuts against our own trim.
- **Whether the April price cuts pay back.** No cohort data on whether cheaper entry tiers convert into higher spend. Management says yes; retention guidance of flat 102% does not yet show it.
- **Seasonality and crowding** — both required checks, neither run.
- **Insider selling pattern and any share pledges** — filings noted, never analyzed; the proxy was never read.
- **Tax lots and holding period** on the 42 shares at \$186.7875.
- **The 51-versus-42 share discrepancy** in the armed trim instruction.
- **Our own evidence pack's financial history block is broken** (revenue series ends 2018) and produced nothing usable for this name. Any other name adjudicated with that block should be re-checked.

Primary sources: [HubSpot Q2 2026 results release, ir.hubspot.com](#) · [HubSpot Q2 2025 Form 10-Q, ir.hubspot.com](#) · [Q2 2026 Form 10-Q \(mirror; regulator's site returned 403\)](#)

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